



Indian Art & Crafts

NOTE BY CHAIRPERSON EMERITUS

The success of a nation depends on its commitment towards knowledge and pioneering innovation. Education is a basic prerequisite, which can significantly transform and uplift lives of the citizens. In the last few years, education has been a global focus. I have always believed in Business for Good. Thus, at Histare, our contribution to this mission thrives through HORA - where a team of professionals work tirelessly to better the knowledge that the generations ahead would learn from and create a better world. I believe India of tomorrow could lead the world in innovation and cutting edge research to find solutions to some of the most complex problems. Histare Group with all its knowledge, experience and resolve will play a significant role in this. I congratulate the team for its determination, passion and focus. I am certain that these efforts will continue contributing in the nation's promising growth story.

Regards,

Simran Wahi Vadehra
Chairperson Emeritus
Histare Concepts Private Limited

HISTARE OFFICE OF RESEARCH AND ADVISORY

This report is prepared by HORA's team of social professionals under the guidance of Educationalists and Analysts associated with us.

The Histare Office of Research and Advisory is an interdisciplinary professional organization of young researchers and art specialists focused on stimulating and supporting the study that strives to promote advances in the study of creativity and innovation for finding ways for the development of the world.

HORA is an institution for the study of creative ideology and advance research with a view to promote Development in the field of creativity. We represent a broad range of disciplines. The initiative encourages Cooperation among professionals and supports the application of research findings to broaden better knowledge absorption.

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EXECUTIVE SUMMARY

INDUSTRY OVER VIEW - HANDLOOMS

The country has the highest capacity of loom with a share of 61 percent in the world loom-age.

KEY GROWTH DRIVERS

India is the biggest producer of jute in the world in (1.67 million tons), second in silk production(23679 MT), second in cotton production(5.7 million tons) while fifth in synthetic fibre production.

India is a powerhouse of silk production; only China produces more silk annually, than India. India is also notable that it produces all four commercially used varieties of silk: mulberry, tusser, eri and muga; around 80 percent of silk pro-duced is of mulberry variety.

India is the biggest exporter f yarn in the international market and has a share of 25 percent in the world yarn exp/*ort market; along with a share of 12 percent in yarn and textile fibre production in the world.

India has the highest capacity of loom with a share of 61 percent in the world loom age.

CONCERNS AND CHALLENGES

Rising input costs

Raw material for cotton costs are high due to high local prices and transport costs, especially for southern states that bring cotton from the west. The prob-lem is far more acute for individual weavers due to lack of economies of scale. Also earlier weaving of handloom was done on cotton, but now other fibres are also used.

Sparse credit coverage and high cost

Lack of financial literacy among weavers and operating outside the purview of institutional financing increase credit-related challenges for them. The dependence of units on the master weaver or trader is high, for provision of orders with raw-material, design and an advance on labour given by them.

Poor policy dissemination

Lack of amount of information available to weavers regarding various government policies and schemes acts as a critical factor for diminishing revenues.

Most schemes, which can target specific problems of small players, are replaced by those that require 'big' implementers with access and influence.

GOVERNMENT INITIATIVES AND IMPACTS

To make small units sustainable and facilitate the growth of independent business units, common facility centers (CFC) have been established. CFC is a place where facilities, such as warping machines, sizing plant, raw material bank, are present to help the weaver.

Handlooms Export Promotion was established to assist Handlooms cooperative societies and corporations in developing export-worthy products, by interventions in the form of engaging professional designers and marketing consultants, upgrading skills and market penetration by participating in international fairs/exhibitions, buyer-seller meets and brand development through Handlooms mark and setting up design studios.

INDUSTRY OVERVIEW – HANDICRAFTS

Introduction

The story of Indian Handicrafts dates back to one of the oldest civilizations of the world. Indian Handicrafts represents beauty, dignity, form and style. In the 1970's, the government initiated the preservation of crafts, skill upgrade, and the challenges the sector was facing. However the focus shifted to export in the later decades. It plays a significant role in the country's economy and provides employment to more than 7.3 million people; mostly from rural and semi-urban areas. Based on historical trends, the Handicrafts sector is expected to grow by 16 percent during 2013–17 and by another 16 percent during 2017–22

Sector Specific Indicators	
Production	INR 302.57 billion
Growth rate of production (base 2008-09)	16 percent CAGR
Exports	INR 168.51 billion
Growth rate of exports (base 2009-09)	15 percent CAGR
Employment (estimated)	7.2 million

Note: The employment numbers have been sourced from the Planning Commission estimate (based on the ongoing Handicrafts census estimate). However, Crafts Council of India (CCI) had earlier carried out a study which guesstimates the employment in Handlooms and Handicrafts to be around 200 million, which is about 18 times of the census estimates. Given the huge difference, CCI has convinced the Planning Commission to include artisans for enumeration in the sixth economic census. The results of this census are yet to be announced by the Central Statistical Organization.

CONCERNS AND CHALLENGES

Handicraft census

Lack of adequate and authentic data on crafts persons, including their socio-economic status, livelihood conditions and details of families, is a major bottleneck that affects planning and policy-making for the sub-sector.

Lack of Raw material

Most artisans are from economically disadvantaged sections with limited access to capital, which leads them to local moneylenders. Similarly, raw materials are sourced locally and ensuring high quality of raw materials remains an issue, which results in poor returns.

Infrastructure and technological gap

The availability of infrastructure required by the Handicrafts sub-sector has been less than satisfactory, leading to a loss of competitiveness. The situation has further risen due to the lack of advanced technologies, as old methods of production lead to inefficiency.

DEMOGRAPHICAL CHARACTERISTICS OF WORKFORCE – HANDLOOMS

60.5 percent of Handlooms/ weavers households are located in Northeast India.

Key characteristics of Workforce

Urban Rural

Handloom is predominantly a rural phenomenon with a significantly high number of Handlooms households located in these regions.

Rural areas have about 87 percent of weaver households and urban areas have the remaining 13 percent. In terms of number of workers, it is 84 percent in rural areas and 16 percent in urban areas.

Geographical clusters

Geographically, workforce distribution is highly concentrated with 60.5 percent (16.83 lakhs) of Handlooms/weaver households located in northeast India. Assam alone accounts for 44.6 percent (12, 41 lakhs). Other states, such as West Bengal, consist of 4.07 lakhs (14.6 percent), Andhra Pradesh consists of 1.77 lakh (6.4 percent) Location of loom, rural: 20.66 lakhs (86.9 percent), urban: 3.11 lakhs (13.1 percent) Geographically, workforce distribution is highly concentrated with 60.5 percent (16.83 lakhs) of Handlooms/weaver households located in northeast India. Assam alone accounts for 44.6 percent (12, 41 lakhs). Other states, such as West Bengal, consist of 4.07 lakhs (14.6 percent), Andhra Pradesh consists of 1.77 lakh (6.4 percent) Location of loom, rural: 20.66 lakhs (86.9 percent), urban: 3.11 lakhs (13.1 percent).

Composition of workforce

Out of the total crafts persons/workers, 24.16 percent are from the scheduled castes, 4.18 percent from the scheduled tribes, 47.4 percent are women and 22.9 percent belong to minority groups.

The Handicraft sub-sector largely comprises women workers and artisans from the weaker sections of the society.

The level of education among workers is significantly low, leading to poor marketing skills and low standard of living.

The sub-sector largely comprises women workers, out of which 71 percent are illiterate.

Regional imbalances

Widespread regional imbalances exist throughout the country with visible gaps in production and sales. The disparity is evident from the fact that the north-eastern states majorly contribute to export while other regions contribute only marginally to export.

Programmatic inefficiencies

The Handicraft sub-sector is dominated by several programmatic inefficiencies, such as eligibility criteria, financial aspects and fund release patterns. There is a need for evaluating and reviewing such inefficiencies.

Limited role of private enterprises

Implementation of project interventions is limited by the capacity of NGOs/ implementing agencies (IAS).

Such agencies are marred by limited linkages with the markets and limited capacity to sustain operations once the funding has stopped.

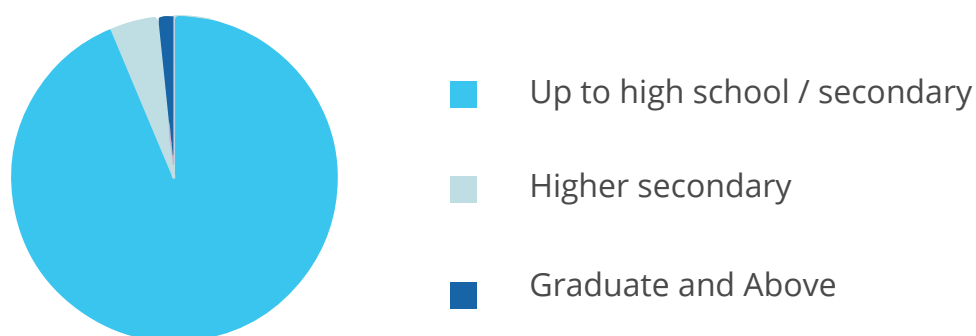
INCREMENTAL HUMAN RESOURCE REQUIREMENT (2013-22)

The handloom and handicrafts sector is expected to grow to 17.79 million 2022

Human resource Growth trends in Sector (In millions)

	Employment (In Million)			Employment Growth 2013-17	
	2013	2017	2022	(In Million)	(In Million)
Handlooms	4.33	4.33	4.33	–	–
Handicrafts	7.32	9.60	13.46	2.28	3.86
Overall sector	11.65	13.96	17.79	2.28	3.86

Education wise break up of incremental HR requirement (2013-22)



More than 90 percent of the incremental human resource requirement is expected to be in minimal education category as the industry does not man-date any specific education levels for employment.

CHALLENGES IN SKILL SUPPLY AND DEVELOPMENT

Job roles	Representative Skill Gaps
Identification of customer segments in contemporary markets	The markets that artisans traditionally catered to are significantly different from modern markets in terms of customer segments. Artisans lack knowledge on demographics and spending behaviors.
Communication and co-ordination skills	To withstand competition from mechanized processes and deliver big orders as required in modern markets, artisans may often have to collaborate, leaving their traditional workplaces of households, to benefit from economies of scale. This process requires artisans to communicate and co-ordinate with each other to meet client requirements within the specified timeframe.
No skills premium	No fair wages mechanism No premium for craftsmanship
Mismatch in expectations of students and employers	The next generation of artisans does not want to become artisans as less remuneration makes the sector unattractive. In addition, the traditional form of teaching, training and skill development for the Handlooms and Handicrafts sector has remained absent in the formal education system, including research institutes.

SUPPLY AND TRAINING INFRASTRUCTURE

The technical nature of the jobs in this sector requires more investment on practical/ on job training

Government initiatives

Training, HRD, R&D and technical processes

The government extends support for improvement in existing infrastructure and machinery, introduction of degree courses, R&D projects, revival and documentation of languishing Handlooms crafts.

Design and Technology Up gradation scheme

It caters to the introduction and dissemination of new designs, development of innovative technologies/ technical processes and showcasing of prototypes in exhibitions as well as online. The purpose of this scheme is to provide financial assistance to the institutions sponsored by central government, upgrade skills through training, documentation, preservation and revival of rare and languishing crafts, financial assistance for institutions to be established under state initiatives, including design centers, design banks and museums.

Human resource Development scheme

It involves the introduction of craft training programmers in design, technology, marketing and management through recognized institutions and universities.

CHALLENGES IN SKILL SUPPLY AND DEVELOPMENT

Engineering graduates who join the IT and ITeS sector lack basic knowledge and skills of information technology, programming etc.

Companies invest significant time and effort to equip fresh graduates with necessary skill set. The existing curricula do not impart the skills that can make students employable.

The technical nature of job(s) requires practical/on-the-job training.

Most of the people in this sector are self-employed, hence, this requires a more holistic approach that is not limited to just training but helping build an ecosystem where training is one of the aspects among others, such as developing markets, products and means of financing these enterprises to improve productivity. The formal education system, including research institutes, has not included teaching, training and skill development for the Handlooms sub-sector in their mainstream activities. As a result, the responsibility of introducing innovation in design and techniques is left to the initiative of the weaver families, who usually do not have resources to devote to this critical field.

There is lack of proper infrastructure for training of weavers as well as of teaching modules on how to adopt technology for the betterment of their product.

RECOMMENDATIONS

Select recommendations and implications

Recommendation	Implications
Artisans need to provide with market linkages and intelligence	Artisans need to be provided with market linkages for them to earn a sustainable living from craft. Creating an ecosystem where artisans have ready access to raw material, work-ing capital, customer knowledge, design capabilities and reliable sales chan-nels alongside health and insurance ben-efits is necessary to revive the sector. Even though artisans possess craft skills, they are unable to meet the needs of the modern-day consumer owing to the lack of design knowl-edge of contemporary craft prod-ucts. Artisans need to be provided with market intelligence for them to produce market-relevant products.
Making funds readily available and spreading awareness about schemes available.	Corporate houses are to be encour-aged to take up development of artisanal communities and revival, preservation and promotion of crafts through adoption of a craft or a cluster as part of their CSR mandate. Further, Handlooms and Handicrafts are to be promoted for corporate gifting purposes Awareness about existing schemes need to be spread among artisans, so that they can benefit from those initiatives.

A readily available platform has to be made available for the promotion of the products.	Khadi and Village Industries Commission and multinational companies. Cottage Industries Exposition Limited can be utilized as a significant platform for marketing handlooms and handicrafts. Its penetration may be leveraged with products customized for prevailing market needs
Need to educate the artisans about raw materials and the products used and also how to market them	Training and education on how to produce is essential but with what to produce is equally crucial. Hence, proper education regarding the use of materials used for production is necessary. Training institutions, government and self-help groups associated with the sector should help ensure that such knowledge is being imparted. An effective channel for artisans to gain an understanding of customers and market their products is exhibitions and fairs. Artisan-organized fashion shows should be part of training curriculum, which could teach them event management and marketing skills.
Need for innovation and experimentation	To withstand competition from mechanized processes, differentiation in terms of design and intricacy are to be brought in by artisans through innovation, e.g., wooden block printers of Sanganer and Serampur adopted finer designs that screen printing (cheaper and less laborious) from Ahmedabad and other regions cannot replicate
Availability of proper infrastructure	In order to improve productivity and bring in a higher level of consistency in products, development of more sophisticated tools and processes is to be carried out and made available to artisans, e.g., development of a tool to position bamboo at a convenient and stable angle for easy and consistent cutting has helped improve productivity of bamboo craftsmen in North East



Indian Crafts with the World

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CONTEXT AND APPROACH

Brief background	NSDC had conducted sector-wise skill gap studies for 19 high priority sectors in 2008–09 . KPMG has been engaged as a consultant to help evaluate the skill gap across 25 sectors and develop actionable recommendations for its stakeholders. Mandate includes sector and sub-sector level analysis, demand-supply projection, estimation of incremental man-power requirement between 2013-2017 and 2017-2022, identification of key-employment clusters, and SWOT analysis of each sector Study also aims to take qualitative insights from stakeholders on enablers and challenges for each sector, way forward in terms of specific policy level actionable recommendations
Inclusions over the previous study	Study led by industry – Sector Skill Councils and a panel of professionals from different sub-sectors were consulted for their inputs on industry trends, key takeaways in terms of skill requirement, qualitative insights to understand specific interventions required for each sector and to validate the quantitative results and recommendations 6 sectors were added to the list of NSDC priority sectors for studying the skill gaps Updated study also includes Identification of top 20 job-roles in each sector, case studies around good training practices, sub-sector level indicators and growth factors Study also includes understanding of existing training infrastructure, work-force characteristics and employment clusters, Macro economic factors, central and state governments policies and their envisaged impact Synchronization of the sector wise demand from the district level skill gap studies Recommendations for key stakeholders - Industry, NSDC, Training organizations and Government Environment scans every year till 2015-16 including SWOT analysis for the sector



INDUSTRY CLASSIFICATION

CLASSIFICATION BASED ON PRODUCT AND RAW MATERIALS

A broad classification of the Handlooms, based on products and Handicrafts, based on raw materials used, are as follows –

Handlooms –

Clothing

Saris, dress material, dhotis, shirts and trousers

Fashion accessories

Scarves, stoles, gloves, mitts, mittens and handkerchiefs

Made-ups

Ben linen, table linen, kitchen linen and upholstery

Floor coverings

Carpets, mats and matting

Handicrafts –

Wood

Figurines, tabletops, wall hangings, kitchenware, office and home accessories

Stone

Furniture, tabletops, utensils, decorative items, home accessories

Metal

Furniture, figurines, utensils, jewellery, decorative items

Natural fibre

Mats, baskets, costars, lighting, furniture and furnishings

Papier mache

Decorative items and home accessories

Glass

Jewellery, beads, vases, utilities, decorative items and home accessories

Cane and bamboo

Furniture, utilities, decorative items and home accessories

Clay/ ceramics

Tiles, figurines, utilities, garden accessories, other decorative items

Textile-based soft goods

Dolls, wall hangings, utilities, other decorative items



HANDLOOMS SUB-SECTOR

Over view of the handloom industry

The Handlooms and Handicrafts segments in India are highly fragmented and unorganized. At the same time the sector gives India its distinct cultural identity and contributes considerably to economic activities in India. Dominant in the rural areas of the country Handlooms and Handicraft sectors are labour-intensive as the products are usually handmade made with or using simple handheld tools. The sector caters to several lifestyle and utility products, including house ware, decorative items, furniture, candles, incense sticks, fashion jewellery and accessories. Traditional skills and eco-friendly methods used for production add to the products' uniqueness. This sector largely comprises people who are self employed and have been in this profession for generations.

India is known for its innate cultural heritage and, thus, craft items like earthenware, pottery, woodwork, sculpting, shawls, scarves, textiles, embroidered and knitted goods, zari items and jewellery are in demand overseas. There is a growing realization to customize designs according to the changing taste and needs of the customer both global and domestic. The sector exports its products to several countries.

The demand for Handlooms and Handicraft in India comes from three major segments – household sector, non-household sector (institutional, industrial and technical) and export sector, and all the three segments are growing. With more than 1.2 billion people living in over 330 million households, as per census 2011, the demand for Handlooms and Handicraft products in India is very large and growing at an increasing rate in tandem with the increase in disposable income of the people. A very high proportion of young and working population is a favorable factor in influencing the domestic demand.

Key highlights of the Indian handloom sector

Handlooms sector contributes nearly 11 percent of the total cloth produced in the country and substantially contributes to the export income of the country

India is the biggest producer of jute in the world in (1.67 million tonnes), second in silk production (23679 MT), second in cotton production (5.7 million tonnes) while fifth in synthetic fibre production during 2012–13

India is the biggest exporter of yarn in the international market and has a share of 25 percent in the world yarn export market; along with a share of 12 percent in yarn and textile fibre production in the world

India has the highest capacity of loom with a share of 61 percent in the world loom age

The average cotton spinning cost in India is lower than all countries, including China

India is a powerhouse of silk production; only China produces more silk annually, than India. India is also notable that it produces all four commercially used varieties of silk: mulberry, tusser, eri and muga; around 80 percent of silk produced is of the mulberry variety

However, the sectors are still highly unorganized, as a majority of production activities are conducted in the houses of the artisan/weaver. This affects their productivity owing to lack of economies of scale and the feasibility to adopt innovative techniques. Thus, the revival of the sector requires movement to more organized production facilities, besides realignment to the market requirements. Also, without marketing and financial management skills, artisans cannot cater to the segment and earn a sustainable living from the craft. Handlooms and Handicrafts require relatively low capital investment, as raw material and labour are easily available in India. However, the government's support to this sector has not been sufficient as artisans across the country continue to face challenges in terms of raw-material availability at reasonable rates, the scale of economies, marketing and distribution, among others.

INTRODUCTION

The Handlooms sector represents the continuity of the age-old Indian heritage of hand weaving and reflects the socio-cultural tradition of weaving communities. Prior to imperialism and colonization, all natural fabrics (silk, cotton and jute) were hand-woven and Khadi was among the prevalent materials at that point of time. Subsequently, the mechanical system created ways for the faster completion of spinning and weaving. As a result, the government intervened and provided financial assistance to implement various developmental and welfare schemes for the sector. The strength of Handlooms lies in its distinctiveness, style, traditionalism and encouraging innovations. Handlooms have the advantage in the introducing innovative designs, which cannot be replicated easily by the power loom sector. Thus, Handlooms embraces the richness and diversity of our country and the artistry of the nation are weaving community.

The Handlooms sector is suffering from the high competition of power looms due to its very nature of being unorganized and dispersed. Also there is lack of education, adequate working capital, proper infrastructure; poor exposure to new technologies, lack of market intelligence, stiff competition and poor institutional framework.

India's Handlooms industry is best known for its use of fine textured fabrics, exclusively beautiful patterns, trendy outlook and sheer finesse in the product. Each and every state in India has the capability of innovative printing, weaving, embroidery and designing trends. Handlooms industry has made its presence in almost every product that can be thought off. From saris to suits, lehengas, skirts, stoles, shawls, scarf's, jackets and many more.

EVOLUTION OF THE INDIAN HANDLOOM SECTOR

1953

Parliament passed the Khadi and Other Handlooms Development Act in 1953 with the aim of raising funds for the sector and organizing weavers cooperatives

1955

In 1955 a national- level apex body called the All India Handlooms Fabrics Marketing Cooperative Society was set up to facilitate marketing of fabrics made in Handlooms cooperatives.

1958

In 1958, the Handlooms and Handicrafts export Corporation of India Limited was setup to promote Handlooms exports

1983

In 1983, the National Handlooms Development Corporation was set up to serve as national level agency for the promotion and development of Handlooms sector. Out of 630 clusters sanctioned by the Government of India under Integrated Handlooms Cluster Development Scheme (IHCDS) and Integrated Handlooms Development Scheme (IHDS), the corporation has so far Covered 330 clusters (up to March, 2013).

VALUE CHAIN OF HANDLOOMS SECTOR

Raw material supplier

Independent craftsmen

Master Weaver

Cooperative societies – subsidized raw materials

Private limited companies

Design and production

Weaver (in case of individual setup)

Government set-up design banks

Cooperative societies (group of Weavers)

Private Limited companies

Distribution and Marketing Export

Artisans (at local mela/ haat)

Government organizations and cooperative societies

Private trader and exporter

Handloom export promotion council

There are a series of methods followed from procurement to marketing. The first step is to get the raw material.

Under the master weaver system, a master weaver purchases the raw products, hires workers, weavers and takes orders from customers. The master then has weavers working for him who often create the products. In this way, a master weaver can increase his livelihood by increased production and sales, while regular weavers can find employment when they cannot afford the initial costs of the entire chain of production

Currently, the master weaver system is in decline due to problems, such as rising prices, wages and falling prices for finished products. This means that many master weavers have had to scale back their businesses and employ fewer people or just work for themselves.

The cooperative system operates under the Cooperative Society Act of 1964. The purpose is to sell weavers good quality raw products at heavily subsidized (by the government) rates and then buying back the finished products at higher rates than private traders. It helps weavers in lowering their initial costs while receiving a good income from their products, often more than they would receive from a private trader. The product is then sold in a wider market, which could be at the state, national or even international level. Private traders play a vital role in sale of Handlooms as their work is more efficient compared to both cooperative and government agencies.

Handloom products show their presence in domestic market in trade fairs, exhibitions, and state emporiums. Similarly Handlooms export promotion council helps Indian players to compete in the international market

EXPORT SCENARIO

The structure of the sector is largely home-based with everybody in the family contributing to labour. India produces about 95 percent of the world's hand-woven textile

This sector contributes about 15 percent to the country's cloth production

The government expects that the export of Handlooms products is likely to register 30–35 percent growth during the current financial year despite the global economic slowdown.

Share of Handloom goods exported to other countries from India

Madeups (Bed and Table Lined, Furnishing articles etc.)	73%
Floor Coverings (Carpets, Mats etc)	22%
Clothing accessories (Stoles, Scarves, Gloves, Mittens etc)	3%
Fabrics (Handkerchiefs, Lungies, Sarees etc)	2%

Country wise export share of Handlooms

USA	59%
UK	7%
Germany	6%
Australia	5%
France	4%
UAE	4%
Japan	3%
Italy	3%
South Africa	3%
Canada	2%
Netherlands	2%
Belgium	2%

The export of Handlooms products recorded a growth of 7.16 percent in 2012–13 (INR 28.12 billion) over 2011–12 (INR 26.24 billion). Though fabrics and made-ups categories have registered a decline of 33.77 percent and 3.08 percent, respectively, clothing accessories have witnessed significant growth of 104.12 percent followed by floor coverings with 64.40 percent growth during this period.

The overall export of Handlooms products to continents during April 2012–March 2013 has witnessed positive growth of 7.16 percent over the corresponding period of April 2011–March 2012. However, due to slowdown in European Union in 2012 export decreases in all sectors, including Handlooms products to European Union countries. It has decreased from INR 820.20

CONCERNS AND CHALLENGES

Though government policies and measures have yielded several benefits to Handlooms weavers and ancillary workers, the sub-sector continues to face several challenges and uncertainties.

Rising input costs

Raw material for cotton costs are high due to high local prices and transport costs, especially for southern states that bring cotton from the west. The problem is far more acute for individual weavers due to lack of economies of scale. Also earlier weaving of handloom was done on cotton, but now other fibres are also used.

Sparse credit coverage and high costs

Lack of financial literacy among weavers and operating outside the purview of institutional financing increase credit-related challenges for them. The dependence of units on the master weaver or trader is high, for provision of orders with raw-material, design and an advance on labour given by them.

Marketing bottlenecks

Lack of innovation and difficult to adopt new patterns is prominent with the Handlooms sub-sector, specifically in the area of marketing.

Lack of adequate investment and participation by private players can be considered critical factors impeding the growth of the sub-sector.

Power looms have been selling their products as Handlooms fabric. Though Handlooms items were safeguarded by the Handlooms (Reservations of Articles for production) Act 1985, which says the term Handlooms means any loom other than power but still illegal activities of making using are affecting the Handlooms.

The introduction of Handlooms mark aimed at promoting Handlooms products has failed to achieve its goal as the weavers have not benefited as expected.

Poor institutional management

In Master Weaver Pattern of trade, the condition of majority of units is not better than job workers themselves. Master Weaver employs labours on daily wage basis to run their units.

Poor policy dissemination

Lack of amount of information available to weavers regarding various government policies and schemes acts as a critical factor for diminishing revenues.

Major institutions providing input — credit, research, technology, management and market development — are centralized and, hence, unable to reach the dispersed home-based weavers.

Most schemes, which can target specific problems of small players, are replaced by those that require 'big' implementers with access and influence.

Infrastructure gaps

Infrastructure facilities in the Handlooms sub-sector are inadequate, specifically in the north-eastern region. Facilities, such as outdated Handlooms machinery, unavailability of raw materials and electricity pose big challenges for clusters for Handlooms production.

Database crunch

Inadequate database on the Handlooms sub-sector serves as a major drawback for formation of policy and review. The sector has seen only three census so far (1987–88, 1995–96 and 2009–10).

Absence of data hinders inter-sectoral comparison with related departments.

Education, skills, research and training

The formal education system, including research institutes, has not included teaching, training and skill development for the Handlooms sub-sector in their mainstream activities. As a result, the responsibility of introducing innovation in design and techniques is left to the initiative of the weaver families, who usually do not have resources to devote to this critical field.

There is lack of proper infrastructure for training of weavers as well as of teaching modules on how to adopt technology for the betterment of their product.

State and central government coordination

Handlooms is a state subject so the primary responsibility lies with the states, but Government of India has been supplementing the efforts of the states with its policy of promoting and encouraging the sector through a number of policies, programme and financial assistance. Due to lack of coordination and proper vigilance, the schemes are ineffective at grass root level.

DEMOGRAPHIC CHARACTERISTICS

The first census of Handlooms workers was conducted at the national level in 1987–88, second in 1995, and third in 2009–10.

Urban-Rural

Handloom is predominantly a rural phenomenon with a significantly high number of Handlooms households located in these regions. Rural areas have about 87 percent of weaver households and urban areas have the remaining 13 percent. In terms of number of workers, it is 84 percent in rural areas and 16 percent in urban areas.

Geographical clusters

Geographically, workforce distribution is highly concentrated with 60.5 percent (16.83 lakhs) of Handlooms/weaver households located in northeast India. Assam alone accounts for 44.6 percent (12.41 lakhs). Other states, such as West Bengal, consist of 4.07 lakhs (14.6 percent), Andhra Pradesh consists of 1.77 lakh (6.4 percent).

Location of loom, rural: 20.66 lakhs (86.9 percent), urban: 3.11 lakhs (13.1 percent)

Composition of workforce

Composition of workforce that is indirectly related in the overall employment has considerable urban-rural variations.

While the share of Handlooms weavers in rural areas is high (78 percent), urban areas have higher composition of allied workers (37 percent) than the rural ones (22 percent).

Gender composition

The sub-sector has a major proportion of women workers (29.98 lakhs i.e. 78 percent of overall) as laborious pre-loom and post-loom activities are traditionally attended to by women.

This ratio falls to 58 percent in urban areas while rural areas have women workforce of about 82 percent.

Education levels

A majority of Handlooms workers have never received any form of education (rural 32 percent and urban 29 percent).

Weaving skills are traditionally inherited from community-based learning, indicating the limited need for educational qualification as a criterion to pursue such activities.

Age-wise distribution

A large number of Handlooms workers are in the age group of 18-35 years, with a majority of them from rural areas, 38.47 lakh, 88.8 percent of the total workforce are adult Handlooms workers (aged 18 and above).

SELECT MAJOR CLUSTERS

NORTHERN REGION

Jammu and Kashmir

Pashmina Weaving:

The weaving of pashmina yarn is complex and this domain is dominated by men.

Production cluster include: Srinagar district of Kashmir

Products include: Shawls and stoles

Uttar Pradesh

Brocade, Jangla, Tanchoi, Vaskat, Cutwork, Tissue and Butidar

Brocae is a textile in which pattern is created in weaving by transfixing or thrusting the pattern thread between the wrap.

Production cluster include: Badi Bazar, Alaypura, Pilikothi, Ramnagar, Kotwa, Lohta in North Varanasi and Madanpura in south Varanasi

Products include: Sarees, ress material, stoles, scarves, mufflers and home furnishing items.

Haryana, Punjab Rajasthan

Panja Weaving

This is generally practiced by women by making use of a tool called panja.

Production clusters include: panipat(Haryana), Punjab, Bhavani(Karnataka),Navalgund(Andhra Pradesh), Warangal, Jaisalmer and Barmer in Rajasthan

Products include: cushions and throws, floor spread and bags

Bandhej & Lehariya

This is made from a style of dyeing. Lehariya, which is characterized by colorful zigzag patterns, imitates wave.

Production clusters: Jaipur, Jodhpur, Alwar, Ajmer

Products include: Odhna, chunari, dupatta, saafa, sari

Kota doria

This is a hand woven fabric characterized by a square check pattern.

Production clusters include: Kaithun(Kota), Mangrol(Bundi), Siswali(Baran) and in southeast Rajasthan

Products include: saris, dupattas, salwar kurta and lehengas

NORTH-EASTERN REGION

Assam

Sualkuchi

Sualkuchi silk is produced using traditional bamboo looms

Production clusters include Sualkuchi in Guwahati, Assam

Product include: mekhala and saris

Mizoram

Mizo puan weaving

Traditional puans and their variations are produced on frame looms and zo(looms of Burmese origin) multi-treadle looms

Production clusters include: Thenzawl (Serchhip), Assam

Products include: Puans (wrap skirts)

Nagaland

Loin loom weaving

This is done by making use of the lion loom

Production clusters include: Dimapur, Kohima, Samgiram village and Ntu village(Peran)

Products include: body cloth, wrap skirts and shawls

EASTERN REGION

Odisha

Sambalpuri weave

This is practiced in Sambhalpuri, making use of three kinds of ikat

Production clusters include: Gujarat, Andhra Pradesh and Sambhalpur, Bolangir, Kalahandi, Phulbani, Maniabandha, Nuapatna area of Cuttack district in Odhisha.

Products include: saris

Koraput weave

The tribal weave of Kotpad village in the Koraput district in Odhisha is traditionally woven in heavy cotton on pit looms.

Weavers use three-shuttle interlock patterning, which allows for innumerable combinations in scale and volume

Products include: saris and other contemporary products

West Bengal

Carpet weaving

Carpets are made on looms using the double-knot techniques.

Production clusters include: Darjeeling and Tibetan Refugee Centre

Products include: Carpets

SOUTHERN REGION

Kerala

Coir Work

Coir craft developed on the basis of utility to meet the daily requirements of local people

Production clusters include: Chertala in Alappuzha district

Products include: mattresses, coasters, wall hangings, carpets, decorative product

Dhurrie Weaving

Dhurrie weaving is an established practice in Warangal with a large population of skilled weavers and facilities for dyeing

Production clusters include: Warangal & Kothawada

Products include: prayer rugs, strips dhurrie, patterned dhurrie, ikat dhurrie and block printed dhurrie

Andhra Pradesh

Pochampalli

Pochampalli weave is popularly known as tie-and-dye weave

Production clusters include: Pochampally in the Nalgonda district of Andhra Pradesh

Products include: Saris

Mangalagiri

Mangalagiri Handlooms are known for the durability of colors used in the yarn

Production cluster includes: Mangalagiri

Products include: saris and suits

(Andhra Pradesh with 6.4 % Handlooms households is also a sari producing state; 44.16 % of all Handlooms households are engaged in this.)

WESTERN REGION

Gujarat

Patola weaving

Patola is woven using selectively dyed warp and weft threads.

Production clusters includes: Patan

Products include: Sari, scarves and borders

Mashru weaving

Mashru refers to a fabric woven with a silk warp and cotton weft textile.

Production clusters includes: Patan

Products include: stripes, khajuria, kankani, danedar, khanjari

Maharashtra

Paithani

Paithani pallu is weaved by using drawing paper and taking out each color thread by hand.

Production clusters includes: Yeola and Paithan

Products include: Saris

CENTRAL REGION

Chattisgarh

Pata weaving

Pata is a heavy, thick, unbleached and hand-spun cotton sari weaved by Paenka, the non-tribal weaving community.

-Production clusters include: Tokapal, Nagarnar and Jagdalpur in the Bastar district

Products include: sari, men's shawl, shoulder cloth and towels

Madhya Pradesh

Maheshwari weaving

Maheshwari weaving is practiced in Maheshwar, small town in Madhya Pradesh

Products include: saris, suits and home decorative

Chanderi weaving

The artisan community involved in chanderi weaving is majorly dominated by the Kohlis and the Muslim Julaha communities. The distinctive feature about the fabric is that the thread never loses its shape or appearance.

Product clusters includes: Chanderi in MP

Products include: saris, suits, dupattas, scarves and house decorative

Natural fibre

Mats, baskets, costars, lighting, furniture and furnishings

Papier mache

Decorative items and home accessories

Glass

Jewellery, beads, vases, utilities, decorative items and home accessories

Cane and bamboo

Furniture, utilities, decorative items and home accessories

Clay/ ceramics

Tiles, figurines, utilities, garden accessories, other decorative items

Textile-based soft goods

Dolls, wall hangings, utilities, other decorative items

S.W.O.T ANALYSIS

Strengths

Strong and diverse raw material base, which include cotton, jute, silk, wool etc are readily available.

High competitiveness in the cotton sector since India is the second-largest producer of cotton in the world.

Availability of trained manpower in management and technical spheres at a competitive rate.

Strong presence in the textile value chain from raw material to finished goods.

Diverse design and strong entrepreneurial base helped the Handlooms sector.

Leverage the ability of the rural population to produce products using locally available resources; this creates employment in villages hence preventing unwanted migration towards cities.

Weaknesses

Large fragmentation in the sector structure.

Technological constraints, especially in weaving, processing and garmenting segments leads to low productivity

Existence of huge skill deficit in the workforce.

Scale disadvantages in comparison with global competitors.

Following outdated weaving technology, producing poor design..

Infrastructure bottlenecks, such as transportation and electricity; lacks adequate support from the government

The sector does not incite aspiration among the youth and is left unconsidered. This hinders the dissemination of skills from one generation to another, which was traditionally followed. There is no ecosystem to procure raw material, production and marketing, which in turn hampers the revenue.

Opportunities

Handlooms exports of India are expected to increase by 30–35 percent by 2014. Due to its attractiveness in design and quality, demand for Indian Handloom products is increasing globally. The government has undertaken several initiatives to provide impetus to the Handlooms sub-sector. Programmers, such as the setting up of common facility centers (CFC), Handlooms export promotion council and cluster development programmes have been initiated to assist Handlooms cooperative societies and corporations in developing export-worthy products.

Increase in the disposable income and purchasing power of Indian customers.

Large potential of domestic and international markets.

Domestic market of India that seems sufficient to accommodate the future increase in production due to the increase in disposable income of the middle-class.

Threats

The sector is suffering shortage of skilled workers. The new generation of skilled workers is not interested in learning the art of Handloom.

The slow pace of development of infrastructure facilities and unavailability of power has been a critical issue.

Due to strict international standards, such as ban on child labor, export gets affected.

Neighboring countries provide stiff competition with competitive pricing and labor rates.

Recession in world economy affect exports, especially EU slowdown has slowed down the import of handloom products

Financial health of cooperatives is declining.

Stiff competition from the power loom sector also poses threat to the industry.



HANDICRAFTS SUB-SECTOR

Introduction

The story of Indian Handicrafts dates back to one of the oldest civilizations of the world. Indian Handicrafts represents beauty, dignity, form and style. In the 1970's, the government initiated the preservation of crafts, skill upgrade, and the challenges the sector was facing. However the focus shifted to export in the later decades. It plays a significant role in the country's economy and provides employment to more than 7.3 million people; mostly from rural and semi-urban areas. Based on historical trends, the Handicrafts sector is expected to grow by 16 percent during 2013–17 and by another 16 percent during 2017–22

Evolution of the Indian Handicrafts sub-sector

The history of Indian Handicraft dates back to 3,000 BC. The references of Handicraft were found during the Indus Valley Civilization (3000–1700 B.C.

In the Vedic age (1500 B.C.) artisans were involved in pottery, weaving and wood craft. The Mauryan era witnessed developments in the field of sculptures.

During the Kushana period, jewellery, sculpture, textiles, leather products, metal working were among the main Handicrafts.

During the medieval period, Handicrafts flourished in the field of pottery, weaving, wood carving and jewellery.

VALUE CHAIN OF HANDICRAFTS

Raw Material supplier

Independent craftsman (from forest) Government/ cooperative societies

Producer companies

Private Limited companies

Design and production

Craftsman (in case of individual setup) Dedicated designing and production team Cooperative societies

Private Limited companies

Distribution and marketing exports

Craftsman/ artisans at local mela/ haat Government organization and cooperative society Private trader and exporters

Trade fair, exhibitions like HHEC

Traditionally, raw materials used by artisans were readily available due to the close links between evolution of crafts and locally available materials. Also, the barter system sufficed and supported the supply of goods and services. However, as man-made material, such as plastic, increased its presence, the traditional structure started breaking down. Consequently, the government started helping by providing the raw material through Babasaheb Ambedkar Hastshilp Vikas Yojna (AHVY).

Handicrafts sector is a labour-intensive and decentralized, so Handicrafts business are supported by their families for processing and other activities, including casting, buffing, coloring and polishing. In large setup dedicated designing and production teams co-exist, e.g., Asian Handicrafts Pvt. Ltd.

In some areas, group of craftsman/artisans come together to attain economies of scale and optimum production levels.

Another mode of producing Handicrafts is through a factory set up where a master craftsman conducts the activities of procurement, deploys a design team and enables distribution and marketing.

Artisans generally sell their product at local melas/haats. Also, the state Handlooms emporiums provide opportunities of having a market. Trade fair, exhibitions by Handlooms and Handicraft exports corporation Ltd.(HHEC) and tourism events — 'RannUtsav' — by Gujarat government play significant role in promotion of Handicraft of rural artisans of Kutch district.

Private traders and exporters provide impetus to Handicraft sector and help increase the presence world over. Private players can directly tie up with craftsman and work for their mutual benefits.

EXPORT SCENARIO

Besides being employment-friendly, the Handicraft sub-sector requires low capital investment, delivers high ratio of value addition and has significant export potential

The government has also been encouraging the development of various e-marketing platforms on the lines set up by the Central Cottage Industries Corporation and the Handicrafts and Handlooms Export Corporation

Share of Handicraft goods exported to other countries from India

Embroidery and crocheted goods	26%
Artmetalware	18%
Wood wares	15%
Handprinted textiles	12%
Imitation Jewellery	6%
Shawls as art wares	3%
Zari and zari goods	2%

Country wise export share of Handicrafts

Other Countries	27%
USA	26%
UK	9%
UAE	9%
Germany	8%
France	4%
LAC	4%
Italy	3%
Netherlands	3%
Canada	2%
Australia	2%
Japan	2%
Sweden	1%

American and European markets account for over 50 percent of the country's total Handicraft exports

Some major Handicrafts' hubs in India serving global markets include Moradabad, Jaipur, Saharanpur and Jodhpur

The Export Promotion Council for Handicrafts (EPCH) acts as an enabler for signing several MoUs with other countries for promoting exports

CONCERNS AND CHALLENGES

Handicrafts census

Lack of adequate and authentic data on crafts persons, including their socio-economic status, livelihood conditions and details of families, is a major bottleneck that affects planning and policy-making for the sub-sector

Credit and Raw materials

Most artisans are from economically disadvantaged sections with limited access to capital, which leads them to local moneylenders. Similarly, raw materials are sourced locally and ensuring high quality of raw materials remains an issue, which results in poor returns.

Infrastructure and technological gaps

The availability of infrastructure required by the Handicrafts sub-sector has been less than satisfactory, leading to a loss of competitiveness. The situation has further risen due to the lack of advanced technologies, as old methods of production lead to inefficiency.

Technical resource gaps

The sub-sector is captivated by several technical resource gaps, such as the lack of direct linkages between Handicraft producers and designers and comprehensive data on equipment, market and retailers linkages

Artisans lack adequate knowledge on the practical applications of crafts

Regional imbalances

Widespread regional imbalances exist throughout the country with visible gaps in production and sales. The disparity is evident from the fact that the north-eastern states majorly contribute to export while other regions contribute only marginally to export.

Programmatic inefficiencies

The Handicraft sub-sector is dominated by several programmatic inefficiencies, such as eligibility criteria, financial aspects and fund release patterns. There is a need for evaluating and reviewing such inefficiencies

Limited role of private enterprise

Implementation of project interventions is limited by the capacity of NGOs/Implementing agencies (IAS)

Such agencies are marred by limited linkages with the markets and limited capacity to sustain operations once the funding has stopped

Economies of Scale

Due to inherent fragmentation of the sub-sector, the benefits arising from economies of scale are absent, which hampers the ability of artisans to buy quality raw material at reasonable prices

Fair price practice

Fair trade ensures fair prices and better working conditions for the producers in addition to, environmental sustainability of production processes. There is no awareness among artisans and customers, alike, of the benefits of and promoting usage of eco-friendly products and processes

Household sector

The Handicrafts sub-sector is recognized as the second-largest sector of rural employment after agriculture.

The activities are predominantly conducted in the organized household sector.

Geographical clusters

Main clusters for the Handicraft sub-sector are located in Arunachal Pradesh, Assam, Mizoram, Manipur, Meghalaya, Tripura, Delhi, Rajasthan, Jammu and Kashmir, Bihar, Jharkhand, West Bengal, Andhra Pradesh, Tamil Nadu, Kerala, Gujarat, Madhya Pradesh, Uttar Pradesh and Maharashtra.

Composition of workforce

Out of the total crafts persons/workers, 24.16 percent are from the scheduled castes, 4.18 percent from the scheduled tribes, 47.4 percent are women and 22.9 percent belong to minority groups.

The Handicraft sub-sector largely comprises women workers and artisans from the weaker sections of the society.

The level of education among workers is significantly low, leading to poor marketing skills and low standard of living.

The sub-sector largely comprises women workers, out of which 71 percent are illiterate.

SELECT MAJOR CLUSTERS

There are thousands of clusters in India, which represent the socio-economic heritage of the country. To develop a better understanding of their products, here we have divided the country in to five major regions and highlighted some of the major clusters from every region.

NORTHERN REGION

Delhi

Naqqashi (engraving)

Engraving is done on metal sheets, mostly brass

Production clusters unclude: Gali Dhobiyan Bazaar and Delhi Gate

Products include: decorative, utensils, surahi and hookah

Uttar Pradesh

Glass work

Traditional bangles and newer products, such as glass toys are made from blowing techniques

Production clusters include: Firozabad

Products include: blown glass and bangle, beads, toys

Chikankari embroidery

Subtle form of embroidery in which stitches do not appear at the back

Production clusters include: Lucknow (Chauk and Daliganj), Barabanki

Rajasthan

Meenakari and kundan

Meenakari or enameling is the art of decoration a metal surface by fusing mineral substances to it

Kundan is the art of placing diamonds over the layers of gold foil set within gold or silver framework

Production clusters include: Bikaner – Old city and Sunaron ki Guwar, Jaipur

Products include: Jewellery and decorative

Dabu printing

This art is practiced by the Chhippa community of traditional printers

Production clusters include: Pipad and Salawas in the Jodhpur district, and Pali

Products include: bed sheets, veils, skirts and mattress covers

Jammu and Kashmir

Papier-mache(kari kalamdani/ kar-i-munaksh)

It refers to the art of making an object from mashed and molded paper pulp.

Production clusters include: Badgam, Anantnag, Kupwara, Baramula, Pulwama and Srinagar districts.

Products include: boxes, toys, jewelry boxes, lamps, pen cases, wall decoration, powder containers, mirror cases, flower vases, kettles, trays, plates and samovar (fluted kettle)

EASTERN REGION

Bihar

Madhubani (papier mache)

The artwork is found only in the Madhubani district of Bihar and practiced by the Kayastha caste of Salempur

Products include: wall hangings, masks, flower vase, pendants, earrings, necklaces as well as other household utility products

Khatwa appliqué work

The applique and patchwork of Bihar is locally called Khatwa and uses waste pieces of cloth as raw material

Products include: saris, dupattas, cushion covers, table clothes, curtains and other domestic utilities and decorative

Jharkhand

Black terracotta

Black and red terracotta products are produced chiefly in the Dumka and Nonigoan districts of Jharkhand.

Products include: flower pots, lamps, candle stands, jewelry and toys

West Bengal

Hill painting

It is essentially done on black polyester cloth with watercolors and is practiced in the district of Jharkhand.

Products include: paintings, decorative and home utilities

SOUTHERN REGION

Andhra Pradesh

Bidri

It is a specialized and refined technique done using complicated sequences of inlay and enameling.

Production clusters includes: Hyderabad, Nampally

Products include: box, flower vases, key chains, Hookah

Nirmal Painting

This art form derives its name from a town named Nirmal in Adilabad district, where it is mostly available.

Usually scenes from Hindu epics, such as Ramayana, the Mahabharata and other historical and mythological stories are depicted in these paintings

The colors are dyes applied in these paintings are natural products made from gums, minerals and herbs

Kerala

Bronze casting

Production clusters include: Nadavaramba, Kadavullur, Kunnankulam for lamps, Kannur districts – Payyanur, Korom

Kasaragod district: Kasaragod, Mannapra – Kannambra

Products include: lamps, idols of God

Tamil Nadu

Thanjavur glass painting

It denotes a distinctive style and technique that has its origins in the gold leaf and gesso technique done on wood

Production clusters include: Channai and Thanjavur

Products include: Glass painting on secular and religious themes

CENTRAL REGION

Madhya Pradesh

Painted clay relief

The women from the Rajwar community in Surguja district and the farming community of Bihar, Chhatisgarh and MP paint walls, doorways and wall skirting of their houses and items of daily use, such as shelves, with lipan done in unfired clay and cow dung during Chherta, the post-harvest festival

Production clusters include: Puhphutara and Sirkotanga

Dodhki(grain storage bin), patani (shelving system), screens, wall murals, doorways and jars

Iron craft

The ironsmiths, or lohars, of the Kondagaon village in Bastar have been engaged in iron craft for generations.

Products include: sankal(chain), badgi(staff), sikara(barbed chain), kanta, chitkuli(musical instrument), gujari(wrist ornament). Churi(knife) and kuchari(axe); weapons carried by deities, oil lamps and decorative

WESTERN REGION

Gujarat

Airakh printing

Printing is patterned in 'royal' colours, such as crimson and indigo blue

Production clusters include: Kutch (Gujarat, Barmer and Joshpur(Rajasthan))

Kachchi embroidery

The embroidery is still done by hands with the help of threads, small mirrors (aabhala) needles and pearls

Products include: decorative, garments, bags and bedspreads

Maharashtra

Kolhapuri chappals

Kolhapur chappals are flat, intricately patterned, handcrafted leather footwear traditionally made in Kolhapur

Production clusters include: Kolhapur district: Kolhapur, Rajgarh Kurudwad, Sangli district: Miraj, Jath, Kavathe Mahankal

Products include: footwear, purses, bags, wallets, saris

NORTH-EASTERN REGION

Arunachal Pradesh, Assam, Mizoram, Manipur, Meghalaya, Tripura

Cane and bamboo

Traditional cane and bamboo product are mainly available in the districts of East kameng. Papumpare, Changlang, Upper and Lower Subansiri, East and West Siang, Lohit and Dibang Valley

Products include: cane chair, cane table, cane racks, cane cradle, cane murrah and designer cane tray

Assam

Eri Silk

It is made by silkworms called Samia Cynthia ricini, which feed on leaves of castor oil plant.

98% of India's Eri silk is produced in assam and the north and the north-east region on the whole

Products include: Saris/ mekhela chadar/ fashion accessories (stoles) as well as home furnishing

SWOT ANALYSIS

Strengths

Availability of abundant and cheap labour, low capital investment and high value addition ratio gives the sector edge over others countries.

India has a strong and diverse raw material base, as one of the world top most producers of cotton, jute, silk and wool. Increased emphasis on product development and design upgrade by help of various government institutions.

Indian Handicraft has aesthetic and functional advantages which compared to competitors. Unique variety of products, willingness of exporters to handle small orders.

Growing Indian middle class created large diversified and potential market for the sector.

Government promoting with help of large corporation by encouraging them to use Handicraft as gift items.

Weaknesses

Low wage structure, monotonous work, poor working conditions, poor infrastructure and prevalent health and safety concerns are some of the drawbacks of the sector.

While being predominantly unorganized and informal it is also highly labour-intensive with low mechanization, which act as roadblocks to the growth of the sector.

The sector suffers from seasonal demand of products for example; most sales take place during festive seasons.

Lack of communication linkages with demand side (retailers) and heavy dependence on traders for marketing are some of the other problems the sector suffers from.

Opportunities

The domestic market looks promising due to high GDP growth and per capita income, which results in high disposable income.

Free trade agreement (FTA) and emerging markets in Latin American countries will help increase exports.

Technological advancement means now it is easier to check prices and design of items and it makes it easier for both the seller and buyer, subsequently leading to an increase in demand and effectiveness of work.

High spending by government will help boost export in the sector. Increase in flow of tourists will also provide market for Handicrafts.

Growing demand for environmental-friendly products from the developed countries will be helpful in getting premium prices

Threats

The sector is going to face stiff competition from neighboring nations, such as Sri Lanka and Bangladesh. Competitors like China are able to get advantage due to economy of scale, and have more effective value chain.

Slow down in EU hits hard as it is one of the major buyers of handloom products.

Lack of basic infrastructure — road and shortage of power — makes things more complicated.

Stricter international standards are makes export difficult.

High cost of raw material due to inflation as well as improper management is likely to mean this sector will face severe competition from power loom sector due to its high production rate along with low cost advantages

It is difficult to adapt to the rapidly changing customer tastes and needs.

Due to these problems, most handlooms weavers do not encourage their next generation to work in the sector.



HANDLOOMS AND HANDICRAFTS – GOVERNMENT INITIATIVES

GOVERNMENT INITIATIVES AND IMPACTS

Government initiatives to boost exports

India's Handlooms exports is expected to increase by 30–35 percent by 2014 due to various initiatives being undertaken by the government for the development of this sector

The government is providing financial assistance to organizations for participation in international fairs and exhibitions and buyer/seller meets, and conducting market studies abroad

All these initiatives are expected to contribute significantly towards increasing the share of exports

Development of e-marketing platforms

The Government of India is providing impetus for the development of various e-marketing platforms as per the standards established by the Central Cottage

Industries Corporation and the Handicrafts and Handlooms Export Corporation

Craftsvilla.com, an e-commerce company, is providing a platform for Handlooms and Handicraft manufacturers in the country to sell their products online. All these initiatives would help in improving the future growth rate of the sector

MOU between India and China

India and China have signed a memorandum of understanding (MoU) for the promotion of Indian Handicrafts exports

The MoU would emphasize on the promotion of exports of products, such as ethnic and contemporary furniture, wooden Handicrafts, including furniture from Jodhpur and Saharanpur, imitation and fashion jewellery and art metal ware from Moradabad

Increase in exports

Export of Handlooms products during FY13 reached USD 554 million from USD 365 million, registering a growth of 52 percent over the previous year

The US, Germany, UK, France, and Italy are among the major importers of Indian Handlooms products. The US accounts for 59 percent of total exports of Indian Handlooms products.

Handicrafts exports has registered a 22 percent growth, growing from USD 2.7 billion in FY12 to USD 3.3 billion in FY13

Indian Handicrafts are exported across geographies with top 10 markets being the US, UK, UAE, Germany, France, Latin American countries, Italy , Netherlands, Canada and Australia.

US alone accounted for approximately 26 percent of the total Handicrafts exports in 2012–13, followed by EU countries that accounted for 25 percent approximately.

The export demand is expected to grow further in FY14 due to increasing demand in the markets of the US, China, Russia and Latin America

Building an ecosystem around artisans, supporting them in the areas of customer awareness, design knowledge, quality standards, financing and market linkage, act as an important enablers for the sector

Extensive support from the government

The government's role extends to a range of activities, such as price support, incentives for investments in upgrading technology, developing mega clusters for Handlooms and Handicrafts, implementing welfare schemes for Handlooms weavers and artisans and promoting skill development of workers in collaboration with the sector.

The government is also providing several incentives for exporting Handlooms and Handicraft products.

To uplift the living and working conditions and provide social security and health insurance to Handlooms weavers and Handicraft artisans, the government is rigorously implementing various

programmes — Rajiv Gandhi Shilpi Swasthya Yojana — which aim to financially enable the artisans' community to access healthcare facilities in the country; Mahatma Gandhi Bunker Bima Yojana — which provides life insurance cover to handlooms weavers in case of natural death or accidental death, total or partial disability due to accident.

Cluster development programme

To reap the benefits of economies of scale and transform small and disintegrated units into viable entities, the government has initiated various cluster development programmes, such as Comprehensive Handlooms Cluster Development Scheme to develop mega Handlooms clusters that are located in clearly identifiable geographical locations and specialize in specific products. Besides, form close linkages and inter-dependents amongst the key players in the cluster by improving the infrastructure facilities.

To make small units sustainable and facilitate the growth of independent business units, common facility centers (CFC) have been established. CFC is a place where facilities, such as warping machines, sizing plant, raw material bank, are present to help the weaver.

To provide financial/policy support and the necessary regulatory framework that fosters the development of viable entities, which enable artisans and micro enterprises (individually and collectively). Assistance for infrastructure and support to Handlooms clusters have been offered under the cluster approach by establishing new or upgrading existing infrastructure to expedite production and improve product quality.

Handlooms mark and setting up design studies

Handlooms Export Promotion was established to assist Handlooms cooperative societies and corporations in developing export-worthy products, by interventions in the form of engaging professional designers and marketing consultants, upgrading skills and market penetration by participating in international fairs/exhibitions, buyer-seller meets and brand development through Handlooms mark and setting up design studios

Credit availability (credit guarantee and interest subvention to weavers against targeted credit)

Handicrafts artisans Comprehensive Welfare Scheme

The main purpose of this scheme is to address the welfare requirements of artisans with respect to health and insurance

Rajiv Gandhi Shilpi Swasthya Bima

This extends financial benefits to the artisan community to access healthcare facilities

Artisans between the age group of one day to 80 years are eligible

Implementing agency – ICICI Lombard General Insurance Company

Janashree Bima Yojana for Handicrafts Artisans

This provides life insurance protection to Handicraft artisan between the age of 18-60 years

Children of the beneficiary, studying in classes IX-XII, are given scholarships at the rate of 300 per quarter per child

Implementing agency – Life Insurance Corporation of India

More than 50000 artisans are benefited in this period

Financial assistance to artisans in indigent circumstances

Any person at the age of 60 years or above and with an annual income of less than INR 15,000 is eligible to get a pension of INR 1000 per month

Social welfare measures/ environmental compliance

Health Insurance Scheme

It provides health insurance to weavers and their families.

Implementing agency – ICICI Lombard General Insurance Company

Annual cover per family is INR 15,000 of which 50% is utilized just for OPD

Mahatma Gandhi Bunkar Bima Yojana

It provides life insurance cover to Handlooms weavers in case of natural death, accidental and total or partial disability due to accident.

Implementing agency - Life Insurance Corporation of India

Scholarship benefits worth INR300 per quarter per child are also available to weavers' children enrolled/ studying in classes IX-XII

Research and Development Scheme

It caters to various activities, including the completion of the Handicrafts census, studies on languishing crafts; occupational health and safety issues and special advocacy efforts for the benefit of artisans

Additionally, the government needs to undertake projects related to environmental compliance, solar lightning, looms improvement and better ergonomics

A total of 101 research studies were commissioned along with 223 workshops. One of the key achievements was research study on definition of handicrafts.

Marketing, exports, brand building and promotion of Handloom products

The schemes provided under this category cater to marketing events, urban haats, retail outlets, strengthening of Handlooms organizations, marketing incentive component, international fairs, exhibitions and export projects

Marketing support and services scheme: The purpose of this scheme is to provide access to artisans to various markets and marketing channels, both in domestic and international markets, through crafts bazaars, exhibitions, establishing urban haats, road shows, reverse buyer-seller meets and market studies abroad.

Infrastructure and cluster model

This category offers consolidation of existing and new clusters/projects and includes group projects/state-specific projects and the new component of margin money support

Babasaheb Ambedkar Hastshilp Vikas Yojna: The purpose of this scheme includes technological interventions (improve modern tools, design and technical development workshops, training of artisans and organizing seminars and symposium), marketing interventions, financial interventions and infrastructure-related interventions

– Consolidation of clusters by strengthening existing skills, harnessing design development efforts and creating new clusters preferably in PPP mode

Raw material availability

This category caters to the yarn to be supplied

The depots are expected to undertake distribution of dyes and chemicals while depot-cum-warehouses are expected to supply small quantities of yarn

Infrastructure and Technology Development Scheme: This covers the strengthening of existing raw material depots/CFCs and opening new ones, establishment of mini haats/urban haats and construction of warehouses and Handicraft museums

For credit and raw material availability, the Yarn Supply Scheme, (earlier known as Mill Gate Price that supplies yarn at the same price as available at mill gate in 1992) would continue with the following few amendments:

- Increase in the rate of freight reimbursement to meet transport expenses
- Revision of service charges to NHDC from the existing 1.5 percent to 2 percent of the value of the yarn supplied

– Allow an advance equivalent to 25 percent of BE of MGPS to NHDC at the beginning of the quarter to facilitate timely reimbursement of transport and depot operating expenses to user agencies

Training, HRD, R&D and technical processes

The government extends support for improvement in existing infrastructure and machinery, introduction of degree courses, R&D projects, revival and documentation of languishing Handlooms crafts

Design and Technology Up gradation Scheme: It caters to the introduction and dissemination of new designs, development of innovative technologies/technical processes and showcasing of prototypes in exhibitions as well as online

– The purpose of this scheme is to provide financial assistance to the institutions sponsored by the central government, upgrade skills through training, documentation, preservation and revival of rare and languishing crafts, financial assistance for institutions to be established under state initiatives, including design centers, design banks and museums

Human Resource Development Scheme: It involves the introduction of craft training programmes in design, technology, marketing and management through recognized institutions and universities



INCREMENTAL HUMANRESOURCE REQUIREMENT (2013-17, 2017-22)AND SKILL GAPS

SUB SECTOR AND EDUCATION WISE BREAK UP OF HUMAN RESOURCE REQUIREMENT

Handlooms segment is expected to witness minimal addition to workforce during 2013-22 in line with the trends observed during the last five years during which the segment has seen outward displacement of workforce

Industry is expected to witness a shift from unorganized to organized sectors

Unlike apparel and fashion sectors, direct linkages between Handicraft producers and designers are still lacking

Mismatch in expectations of students and employment working conditions as the sector employment is mostly self-employment with limited job security

The sector has no fair wage structures and provisions for employee benefits leading to issues with job security and lower retention levels

Employment	Employment growth			Employment growth	
	2013-17			2017-22	
	2013	2017	2022	In Million	In Million
Handlooms	4.33	4.33	4.33	--	--
Handicrafts	7.32	9.60	13.46	2.28	3.86
Overall sector	11.65	13.93	17.79	2.28	3.86

Education wise break up of incremental HR requirements (2013-22)

Up to high school/ secondary – 93%

Higher Secondary – 5%

Graduate and Above – 2%

More than 90 percent of the incremental human resource requirement is expected to be in minimal education category as the industry does not mandate any specific education levels for employment

LACK OF MARKET INTELLIGENCE IS ONE OF THE MAIN CHALLENGES

Skill Gaps	Description
Identification of customer segments in contemporary markets	The markets that artisans traditionally catered to are significantly different from modern markets in terms of customer segments Artisans lack knowledge on demographics and spending behaviors, e.g., Jaipur and other tourist destinations witness a large turnout of foreigners with a high propensity to spend This means products crafted by hand from end-to-end, such as hand embroidery on a hand-dyed and hand-woven fabric, can have significant market demand in such areas despite being expensive
Knowledge on customer requirements	Artisans lack knowledge on products that are of utility, convenience and aesthetic appeal to modern customers even as traditional crafts have begun to lose their relevance in these markets E.g., Bidri craftsmen from Hyderabad have been traditionally producing vases, decanters and other decorative items that only have aesthetic value and not much functional use for today's customers When caravan supported artisans with design knowledge and marketing to apply the craft on to USB drives, products of functional use for modern day customer, it opened doors to a market that is nearly inexhaustible today

Designing contemporary markets	Artisans are equipped with necessary skills required for traditional products, however, they lack design knowledge for contemporary markets They require assistance in the application of traditional craft to products of utility and relevance for modern customers so as to keep the craft alive and flourishing E.g., Block printing in Jaipur was traditionally conducted on ordinary fabric, which prevented it from becoming popular globally When Rasa began to use high-quality fabric, fashion designers started working with block printing and subsequently, introduced it to global markets where it is highly popular today.
Communication and co-ordination skills	To withstand competition from mechanised processes and deliver big orders as required in modern markets, artisans may often have to collaborate, leaving their traditional workplaces of households, to benefit from economies of scale This process requires artisans to communicate and co-ordinate with each other to meet client requirements within the specified timeframe At a micro level, artisans are required to communicate and coordinate with each other to bring out the product as originally planned and with minimal wastage Thus, division of labour in such a way that they work as a team, as required in modern workplaces, are some problem areas for artisans with inadequate communication skills.

NEED FOR INNOVATION IS CRUCIAL

Skill Gaps	Description
Marketing knowledge	Ability to create and develop a brand, reach out to potential clients, present to them product portfolio, communicate product specifics, utility and exclusivity, negotiate and procure orders have been observed to be severe challenges for artisans as entrepreneurs in the modern world
Event Management	An effective channel for artisans to gain understanding of customers and market their products in exhibitions and fairs seems mandate This requires artisans to acquire event management skills, e.g., expositions and melas organised by state and central ministries, that have not been able to mobilise artisans to participate, as artisans tend to be insecure about their capability to participate in such events As a remedy to this, Kala Raksha calls for an artisan-organised fashion show as the concluding part of its training programme so they may become confident in showcasing their work successfully
Experimentation and innovation	To keep pace with the rapidly evolving customer needs and tastes, artisans are required to experiment with new materials, colors, designs and products and their combinations, given the shortened lifespan of products in general To withstand competition from mechanised processes, differentiation in terms of design and intricacy should be brought in by artisans through innovation E.g., Wooden block printers of Sanganer and Serampur adopted fine designs that screen printing (cheaper and less laborious) from Ahmedabad and other regions cannot replicate
Financial management	Inadequate numeracy renders artisans incapable of managing finances in areas, such as accounting, budgeting, costing, pricing and optimisation of cost and material. Further, lack of awareness among artisans of government-sponsored schemes makes access to working capital difficult for them E.g., Primary interactions have revealed that when artisans are given basic numeracy skills and are involved in material planning processes, they tend to minimise wastage In addition, involving them in pricing is another way of empowering them, as only they can ensure best prices for their products.

CHALLENGES IN SKILL SUPPLY AND MANAGEMENT

Concerns and challenges in the sector regarding skill supply and skill development

No Skills premium

No fair wages mechanism

No premium for craftsmanship

Shift from unorganized to organized sector

From the government's perspective, there is not enough clarity on the size, requirements or the number of artisans who make livelihood from Handicrafts and Handlooms

Since the sector is informal, most people do not have the capability to pay the training fees

In addition, reaching out to artisans is a big challenge, as they are scattered in various areas that have no or limited economies of scale and social safety

There are small clusters of Handlooms and Handicraft that are developed with the support from private entrepreneurs/traders

However, the challenge remains to move these artisans from home-based livelihood activity to more organized semi-factory-based activity

Inadequate knowledge

Unlike apparel and fashion sectors, direct linkages between handicraft producers and designers are still lacking

Inadequate Knowledge on latest machines, trends and designs since the knowledge is confined to local trends

Mismatch expectations of students and employers

The next generation of artisans do not want to become artisans as less remuneration makes the sector unattractive.

Though traditional artisans learn skills from their forefathers and know hard skills, the products that they make are no longer in demand

In addition, the traditional form of teaching, training and skill development for the Handlooms and Handicrafts sector has remained absent in the formal education system, including research institutes

Most of the people in this sector are self-employed, hence, this requires a more holistic approach that is not limited to just training but helping build an ecosystem where training is one of the aspects among others, such as developing markets, products and means of financing these enterprises to improve productivity.



RECOMMENDATIONS FOR STAKEHOLDERS

Need to create market linkages and intelligence

Growing market for Handlooms and Handicraft products: Need to create market linkages

Engineering graduates who join the IT and ITeS sector lack basic knowledge and skills of information technology, programming etc.

Companies invest significant time and effort to equip fresh graduates with necessary skill set. The existing curricula do not impart the skills that can make students employable.

The technical nature of job(s) requires practical/on-the-job training.

Lack of structure and funds: The sector is in dire need for the capital to grow

This sector needs to be organised structurally. Artisans work in isolation with no standard pricing of products by the intermediaries. Also the sector is viewed as a supplementary source of income, agriculture being the primary source for most artisans. This seasonality element affects the availability of artisans around the year.

Artisans find it difficult to avail working capital either through government-sponsored initiatives or otherwise. This may be attributed to lack of awareness among artisans of these schemes and lack of education. This is also often associated with viability of their business model, of which the banking sector has a poor rating e.g., Given the economic status of the artisans, they often cannot provide the necessary documentation or security for availing financial assistance.

Need to create awareness and create platform for promotion

Platforms: Lack of avenues to showcase the products of the sector on a sustained basis

There is no particular flagship store where the products are showcased, thereby ensuring market presence at all time also creating a niche demand for the products.

Inadequate knowledge of production methods and products

Lack of adequate knowledge of dyeing among Handlooms weavers often results in limited number of colors available, which makes variation difficult. They are compelled to approach the master weaver for more options who may or may not provide the dyes at a reasonable price.

On the organic front, as natural dyes tend to be fugitive and more expensive, many artisans continue working with chemical dyes the exposure to which results in deterioration of their health. This also implies they fail to reap fair trade benefits, which require the use of eco-friendly dyes. This may again be illustrated through Etikoppaka lacquer toys where the lead content in the chemical dye used resulted in rejection from buyers

Consumer awareness

A large part of the revival of the sector also rests with the consumers who should be able to differentiate between a power loom product and Handlooms product, and are willing to pay for the Handlooms products

Sector attractiveness: It is not a career of choice among youth

There is no aspiration among the young to take up this trade as they see no value in pursuing a sector where there is no growth. Even those practising the craft for generations are not able to interest the younger generation in this sector resulting in declining of the craft.

The sector suffers from lack of innovation and experimentation. To keep pace with rapidly evolving customer needs and tastes, artisans are required to experiment with new materials, colors, designs and products and combinations of these given the shortened lifespan of products in general

High prices of certain handcrafted products are often owing to lack of necessary infrastructure, e.g., Bhagalpur Handlooms weavers are faced with a severe shortage of electricity compelling them to resort to alternative but more expensive sources the cost of which is passed on to the consumer. In the case of Etikoppaka lacquer toys, power shortage has resulted in reduction in productivity as the lathes that artisans use for lacquering lay idle now

For artisans to earn a sustainable livelihood from the craft and remain entrepreneurial, imparting design education to them is essential, e.g., Kalamkari artisans of Srikalahasti, AP, were traditionally into crafting narrative panels that have a limited market demand

Lack of proper working conditions for the artisans

RECOMMENDATIONS

1 – Artisans need to be provided with market linkages and intelligence

Artisans need to be provided with market linkages for them to earn a sustainable living from craft. Creating an ecosystem where artisans have ready access to raw material, working capital, customer knowledge, design capabilities and reliable sales channels alongside health and insurance benefits is necessary to revive the sector

Even though artisans possess craft skills, they are unable to meet the needs of the modern-day consumer owing to the lack of design knowledge of contemporary craft products. Artisans need to be provided with market intelligence for them to produce market-relevant products.

2 – Making funds readily available and spreading awareness about schemes available

The artisans have to be incentivised to make Handlooms and Handicraft their main source of income by lowering cost of raw materials and making loans readily available

Corporate houses are to be encouraged to take up development of artisanal communities and revival, preservation and promotion of crafts through adoption of a craft or a cluster as part of their CSR mandate. Further, Handlooms and Handicrafts are to be promoted for corporate gifting purposes

Awareness about existing schemes needs to be spread among artisans, so that they can benefit from those initiatives

3 – A readily available platform has to be made available for the promotion of the products

Khadi and Village Industries Commission and multinational companies Cottage Industries Exposition Limited can be utilized as a significant platform for marketing handlooms and handicrafts. Its penetration may be leveraged with products customized for prevailing market needs.

4 – Need to educate the artisans about raw materials and the products used and also how to market them

Training and education on how to produce is essential but with what to produce is equally crucial. Hence, proper education regarding the use of materials used for production is necessary. Training institutions, government and self-help groups associated with the sector should help ensure that such knowledge is being imparted.

An effective channel for artisans to gain an understanding of customers and market their products is exhibitions and fairs. Artisan-organised fashion shows should be part of training curriculum, which could teach them event management and marketing skills.

5 – Need to launch awareness campaign to promote and educate customer

Need to educate the customer about the exclusivity of hand-woven and handcrafted products can play a huge role in promoting the sector

6 – Need for innovation and experimentation

To withstand competition from mechanized processes, differentiation in terms of design and intricacy are to be brought in by artisans through innovation, e.g., wooden block printers of Sanganer and Serampur adopted finer designs that screen printing (cheaper and less laborious) from Ahmedabad and other regions cannot replicate

7 – Availability of proper infrastructure

In order to improve productivity and bring in a higher level of consistency in products, development of more sophisticated tools and processes is to be carried out and made available to artisans, e.g., development of a tool to position bamboo at a convenient and stable angle for easy and consistent cutting has helped improve productivity of bamboo craftsmen in North East

8 – Customized and market relevant training is required

Given the variety of crafts, differences in scope of their applicability, target markets and ease of learnability, training, especially in designing, is to be customized for every artisanal community and periodically revised to keep pace with changing market needs, e.g., Aari craftsmen believe about 25 years of experience is required to gain mastery of the craft

9 – Promotion of fair trade

Fair trade ensures fair prices and better working conditions for the producers in addition to, environmental sustainability of production processes. Fair trade being a relatively new concept in India, stakeholder efforts are to be focused around building awareness among artisans and customers alike of its benefits



Indian Art Industry

Abstract

Creative cultural industries are those that produce tangible or intangible artistic and creative outputs, and which have a potential for wealth creation and income generation. All cultural industries use creativity, cultural knowledge, and intellectual property to produce products and services with social and cultural meaning. Industries that make use of cultural assets and skilled creative people can significantly benefit from the use of online social networks. Creative industries are typically characterized by a high level of product differentiation. For example, no artwork is like any other. Some of the products are reproducible, while others are not. The high degree of product differentiation is linked to symbolic content and also to the fact that cultural products contain some aspect of novelty that implies product innovation.

The Study: A brief

There have been many studies earlier in the areas of economic impact of arts [1] and usage of new technologies in arts [2]. However, the scope of the aforementioned research has been restricted to the USA and Europe. The Indian art ecosystem, especially its organizational aspects has not been studied in- depth. Individual galleries such as Saffron Art in India.

[3] have been researched. However, the entire art ecosystem has not been studied from the organizational perspective. We have attempted a realistic assessment of the visual art ecosystem in India and attempted to understand how online offerings can contribute to art entrepreneurship, especially its dual impact on propagation of art and economic growth.

The study was restricted to online portals, specifically to those that were able to harness cultural and artistic talents and instill a sense of art, art appreciation and simultaneously becoming economically viable. A website in the form of a social network and its preference among stakeholders in the art industry was the area of focus. We studied an organization that has helped retain and propagate a specific traditional art form. How it has helped by making it contemporary and viable in terms of marketing and design. The specific aspects for its success were studied.

The field of contemporary art is seen to be for a select few. As an investment option, it is often seen as an area for the niche elite. Only a few artists gain prominence. The method behind art appreciation and valuation is a very complicated process. A close-knit society for contemporary art works like a clandestine group. Online forums working in tandem with galleries and art hubs in India may help in making the art world more accessible to buyers. This may also bring in the much-needed transparency in the field of arts and eliminate hidden surcharges.

We also delved into questions: Is there an option for the young and the not so wealthy to look at investment options in art? Statistics show growth in the returns from art is much higher than returns from any other asset. It has also been able to weather the recession that seems to have hit other sectors hard worldwide. Auction houses have made it their closed fortresses. Can art buying and trading be made simpler?

We felt an online art house and more affordable rates would help target art at the middle class level. With the emergence and adoption of internet based social networks, increase in income levels, greater interest and paucity of time for cultural artifacts the success of cultural entrepreneurship is going to depend on online offerings in the future. A counter point weakens the hypothesis - the experience/touch-and-feel aspect of the arts remains to be a big factor that dissuades consumers/users of such offerings in a developing nation such as India. Different art galleries were studied. 'Depth interviews' with experts and veterans in the industry also helped us understand details better.

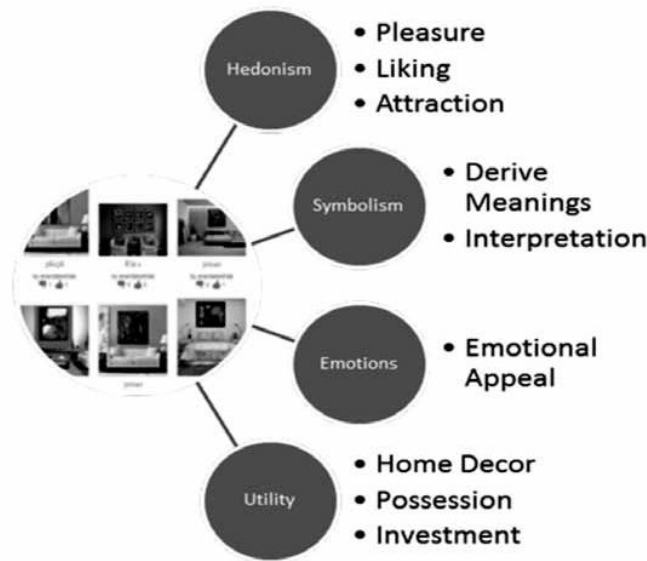
Categories of Art and Art Buyers

This paper predominantly pertains to the sale of modern and contemporary visual arts also known as fine arts. Created on aesthetic rather than decorative grounds, fine arts is to be understood and responded to on its own, without relation to anything else.

We have done art buyer categorization essentially to help segment the buyers based on psychographics, which will help target the buyers better based on the art categories discussed earlier. It may also help entrepreneurs position their offerings better. This categorization depicted in Figure 1 is arrived at based on interviews with art buyers, art enthusiasts and art gallery owners. We ascertained art buyers as they are currently. We tried to elicit their motivations to buy art. Abstracting out a general art buyer we tried to track down his/her intentions in buying art.

Traditional Art Buyer

**Why the buyer
Buys Art?**



based on Interview Inputs

figure 1: Art Buyer Categories based on the Motivation to buy art

Characteristics of an art buyer and reasons why they buy, include: Hedonism, attraction and the pleasure derived from the art-work. It can also be a combination of emotions and sensory stimulus as against a pure pleasure-orientation. Emotional appeal defines another category of buyers, who feel direct and pure sensory stimulus – anger, fear, pain etc. Symbolism: Translation from the cognitive to abstract based on the interpretation and meaning derived, is a category we could identify as motive for the buyer. Utilitarian reasons include possession for status, as an investment option – monetary reasons, and as home décor – for decoration and as a means of making things aesthetically pleasing.

Although not completely compartmentalized, there is a broad level categorization that can be done for the buyers of art. There are the wealthy and passionate art collectors. Art collectors tend to use words such as beauty, attractive, pride and aesthetics, enhancing status etc. Associating with the finest creative minds increases their own self worth and their projected worth in the society.

For some collectors it is an obsession to collect art (hoarding behavior) leading to repeat purchases. The availability of wealth is another important factor leading to art buying in order to decorate the house and beautify it. Adding more glamour to beauty as one art collector put it!

Some buyers appreciate art and see it as an investment option; this includes corporate honchos. There are also buyers who see art purely as an investment option; for the increase in the valuation and they buy works of specific artists because their market value tends to go up the most.

Investment schemes are formed for art selection, art consultation and art advisory services such as by Religare Art Initiative – www.religarearts.com

Among the occasional buyers there are a few who get emotionally attached after seeing a certain artwork and they tend to love the aesthetics of the art work and thus buy it in order to possess it – these buyers are not repeat buyers. These occasional art buyers predominantly buy for home decoration or sometimes for gifting purposes. This number is now increasing with disposable incomes and residential complexes coming up at an everincreasing pace. Bulk buyers are a separate category and buying happens through interior decorators or people assigned within an organization. Refer to Exhibit 3 given in Appendix for fine-grained details.

Apart from demographics and art-buying needs (demographics and psychographics sections of Exhibit 2 given in the Appendix), characteristics that define art buyers include the following. Often they like to often visit and gather at parties and socialize over drinks. Art buyers often are interested in several other performance arts activities such as viewing plays and music or dance recitals. Some of them are on the other hand very reclusive and introverted, as they like to stay in solitude and contemplate. Many are industrialists' wives who are naturally wealthy. Many of them may have diverse buying needs or indulge heavily in shopping or in gardening at home etc. Some of them have unique collecting habits and are connoisseurs of good things in life. These are based on perceptions and observations of the authors.



figure 2: Markets for Fine Art

Analysis of Sales of Art

Traditionally the two most prominent modes of organized selling of art have been through art galleries and physical art auctions houses (auctions) apart from private sales. The art market supply chain is shown in Figure 2 Ten years ago, Saffronart, an online store for lovers of art was started. Art websites online have since then caught on as they provide the benefit of increasing reach to a greater number of buyers. Art fairs such as India Art Summit which started in 2008 (now an annual fair) are another very recent phenomenon spurring art sales.

Offline Sale of Art

Art works are usually with the art gallery on consignment basis. So there is flexibility in terms of display and showcasing and contracts are used. Artists from different locations rarely come together and interact.

Apart from gallery, middlemen exist in the industry - connecting artists to galleries with their knowledge of the artists and art styles, they may also act as curators at times. Greater dependence is on trust, although contracts and agreements exist.

Key artists get famous and have international auctions and command higher prices for their work and are then promoted by the art galleries. Many art galleries may potentially try to attract such an artist. Artist loyalty comes into play here unless there is an exclusivity in the contract on the sale of an artist's works, which is a rarity these days. Loyalty among art collectors is definitely another aspect.

Exhibitions are often held for individual and group of artists. However, there is no artificial speeding up or any effort towards productivity, which may lead to degradation of quality. As mentioned, partnerships exist between different stakeholders, and this leads to benefits of such social capital including information, artworks and allied services, emotional support, socio- political influence – in essence weak ties and social organization-like structure.

Art galleries give artists independence and yet the artists cooperate with the gallery to sell their works. Therefore, it is a mutually beneficial symbiotic relationship.

Online Sale of Art

Online sales comprise of display of artwork on websites. Fixed price sales of art prints and artworks (standard e-commerce model using a transaction gateway) and online auctions for bids online are the modus operandi. Mobile auctions along with website-based auctions are the norm. A new development has been entire art-fairs being conducted online using rich graphical website technologies and 3D look and feel (VIP Art Fair – January 2011). Such fairs are for the internet-savvy and are international in nature due to the prevalence of high-speed internet connectivity. High-resolution images are sent out via e-mail to potential buyers/ patrons who often buy. Gallery reputation and the artist are most important when buying online as per inputs of art galleries.

Many world famous auction houses have online presence: Sotheby's, Christie's, Deviantart etc. Indian Sites: although highly fragmented with hundreds of art galleries, the Indian art industry has only a few prominent online ones including Saffronart, IndianArtCollectors, Artjini, Artflute, Indian Art Collectors, IndianArtIdeas etc. More details of some of the aforementioned art galleries are part of Exhibit 1 given in the Appendix.

Art Transaction Processes

Transactions in the art world comprise of buying and selling of art. Artists and art entrepreneurs sell their artworks. The price of the artwork is either determined by the artist or in collaboration with the art entrepreneur as a fixed price. References for this pricing could be artists of the same style or genre.

At times when it is not possible to determine the price of a piece of art, auctions are conducted to determine the worth of a piece of artwork especially if it is a new style of art. These auctions then go on to determine the relative worth of an artist's artwork. The auction results become a reference for setting the base price for future auctions. Often secondary art pieces are auctioned. An art collector possessing an art-collection, sells off some of his artworks to potential buyers or collectors, and this maybe done through an auction house or a gallery!

Analysis of the Survey and Interviews

We floated a survey to elicit answers on the art buyers' approach to buying art. The survey comprising of questions on mode, frequency, interest in art and art buying, along with ratings for current parameters they look at before buying. Online buying parameters and online features were rated by the survey takers. Interest in socializing in online social network oriented website was also probed. This gave us an overview of the buyer's preference about the online medium and possibilities of innovation in that area. This survey was conducted in-person (offline) and online. People surveyed were artists, art buyers, IT/ITES and Marketing professionals and they are active users of Facebook or other online social networks.

We may aggregate the need categories based on the above statistic as:

- Status needs
- Home Décor
- Emotional connect to art/Passion for arts
- Impulse Buy/Loved Artwork

Online Art Buying - Salient features abstracted from survey

As per survey results put forth to art consumers and potential buyers the needs vary as follows:

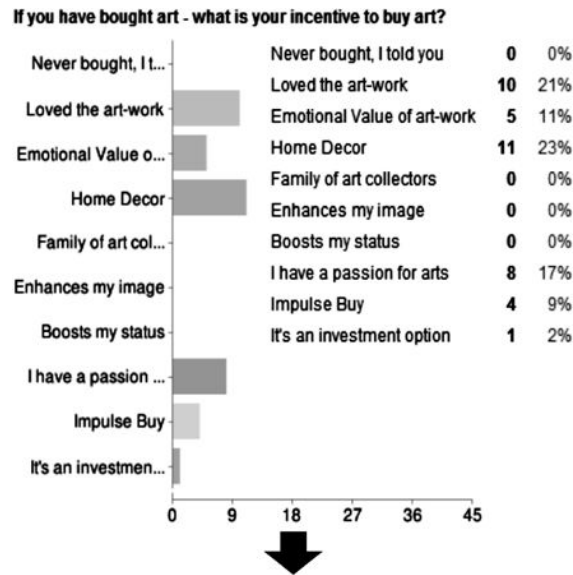


figure 3: Needs and Benefits of Art

We found that a majority of the survey takers buy art because they love it or they prefer it as an accessory for home décor (See Figure 3). Availability of details and ease of use of websites are high priority for online buyers. This shows self-learning is quite significant for the buyers as they browse a website. Art gallery brand is not as important as the art galleries themselves make it out to be. In addition to ratings and comments, (social interactivity and knowledge angle) assurance of authenticity is very important for the art buyer.

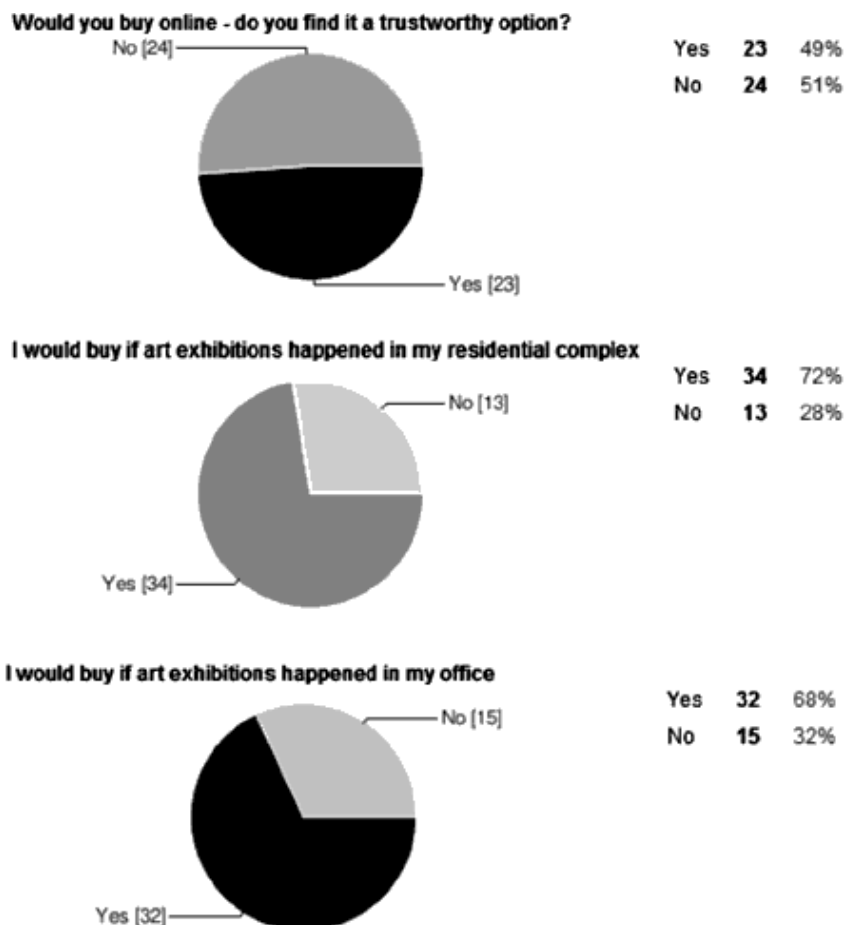


figure 4: Some Relevant Customer Survey Results

A predominance of art buying for home decoration purpose is well reflected in the survey (Figure 3). Art buyers would prefer to purchase art through art galleries rather than the Internet mainly because of the missing 'touch and feel' aspect of seeing the art in front of them (Figure 4). However, they have a preference for self- learning and gathering knowledge from art websites and critic's reviews and comments. Interactivity has to be tempered with hassle free navigation and low complexity. We surmise that audio and video podcasts such as recorded talks streamed on the internet etc. can help increase buyer engagement (i.e. time spent) on the art gallery websites or on online social networks. This is evidenced in the conducted interviews.

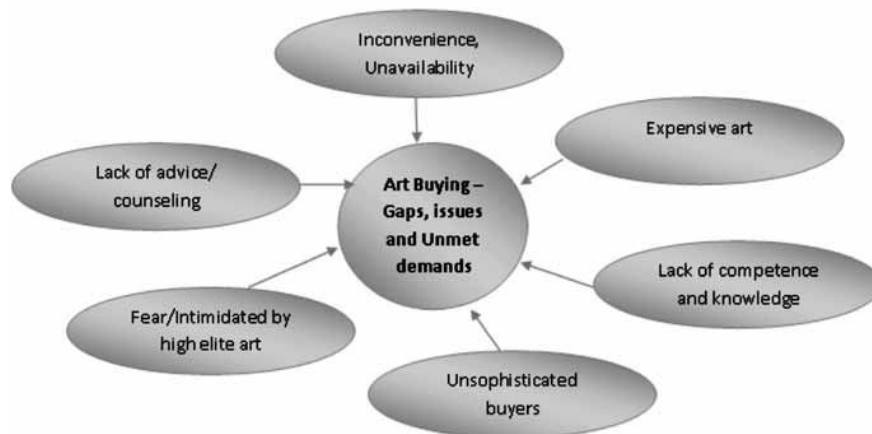


figure 5: Unmet Needs and Issues

Artists seem to be open to using online websites and social networks but the art galleries need to set up the infrastructure in their view. This will help augment their sales from art exhibitions and auctions. Art entrepreneurs have already started using some of the online methodologies to sell art. Some currently have up to 50% of their sales via the online mode. Authenticity being a key area, they would like to see some mechanism to register artworks online. Buyers are keen to utilize online mechanisms for gaining knowledge and interacting with like-minded people. Few are of the opinion that it can only act as a preliminary stage. However, some art buyers have embraced online buying by means of viewing high-resolution images. Art critics seem to be strong supporter of online social networks and discussion forums that will help popularize contemporary art as some organizations are doing. Critics under the umbrella of FICA (one such organization in India) are actively participating in the online discourse.

Figure 5 captures some of the key issues that have been extracted from the interviews regarding the gaps and unmet needs in the art buying process. In actuality, some of these issues deter art buying and as a result art acquisition is lower than the possible potential.

Often the art world is viewed as one for the elite crowds and acts as a psychological barrier creating a niche market as intended. Also as a result of the lack of competence in buying art and advice on artists and artworks, it is seen as a risky investment. The prohibitive costs go on to eliminate many potential buyers who otherwise have an interest in arts and love certain pieces. They may prefer to buy art reprints (printed copy of the originals) as an alternative.

Affordable original Indian art is looked-into on by certain art galleries such as Kynkyny in Bangalore as being a differentiator. It is yet to catch up in a big way in the market.

Conclusion

Creative industries thrive on creativity and autonomy is our conclusion. This unique nature of art galleries and cultural enterprises has some lessons from the organizational perspective. This is particularly beneficial to knowledge intensive organizations in general. The nature of command and control that needs to be broken to become more innovative in such organizations is what makes the application of this analysis particularly useful.

Appendix

Exhibit 1: Art Galleries Online (from relevant websites mentioned in the column titled 'Art Galleries')

Art galleries	No. of hits	About Them	Offerings	Price range	Types of art	Analysis
www.deviantart.com	5.5 million	Connection and communication between artists and fans on a massive scale. deviantART represents a breakthrough for the promotion and exposure of otherwise stranded artists in all corners of the globe.	www.deviantartsummit.com; Free and Premium membership; Welcome mail is really impressive and colorful, with options to sell artwork, write a journal, and buy stuff; the user becomes a "Deviant"	>\$1	Categories offered - Digital Art, Photography, Traditional Art, Film & Animation, Contests, Cartoons & Comics,	Browse Ad Free Access the Archives with wayback Premium Profile Page Widgets Easy to use Journal Skins Create Journal Polls \$60 Discount on Corel Painter 11 Become a Beta Tester.
Artjini.com	368	India's largest online art store brings to the Indian consumer, for the first time, more than 150,000 poster images, tapestries and canvas transfers.	canvas, tapestries	Rs.900 to Rs.50,000. 90% range Rs.1500 - Rs.3500	Good categories like Animation, Education, Famous faces, Fashion, Humor, Animals...	Option to frame.
Artflute.com	1000	Artflute is an endeavor to build India's first Indian Contemporary Art community; Associated artists - 635; Number of artworks - 2500	Painting, Sculpture, Prints, Photography or Digital/Computer art, drawings, art collectibles; Select by color option - unique option, Custom service option Category of art by master experts	Rs.4,000 to Rs.120,000; Mostly in 20,000 to 40,000	Style - Abstract, Figurative, Landscape, Still- life, semi-abstract	Spotlight artist, social networking possible using orkut, FB, blogger, in.com. newsletter,

Saffronart.com	30	Founded in 2000, One of the most comprehensive and definitive sources of modern and contemporary Indian art, Saffronart provides a platform which enables access to purchase, view and become involved in the development of Indian art globally.	Auctions, Online sales, Exhibitions. Services - Art advisory, Art Storage, Appraisals and valuations, Mobile bidding Personal favorites,	Paintings - Rs.4500 to Rs.1 crore Jewellery - Rs.25000 to Rs.1 crore	No particular categories	
Indianartideas.com	20	Endeavor to create a collaborative platform where Art lovers/collectors and Artist can share their experiences and collections You can buy artworks directly from the artist and benefit from the dramatically lower service commissions charged by Indian Art Ideas.	Option to choose by palette color option; Paintings and sculptures; Collectors can sell their collections as well	Rs.3000 to Rs.13,65,000	Style - Contemporary art, modern art, traditional art, sketching Subject - People, scenic, places, religion, animals, botanical, abstract	Affiliating with them - Introduce an artist, you will receive 5% commission on the sale price for the first one year. Referral - Recommend a piece of art and you will receive 3% commission on the sale price

Exhibit 2: Segmentation Analysis Data (based on demographic and psychographic section of the conducted survey)

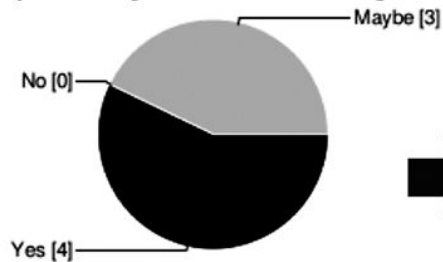
	Segment 1	Segment 2	Segment 3	Segment 4	Segment 5	Segment 6	Segment 1	Segment 8(Special category)
Demo-graphic								
Age	26-40 yrs	26-40 yrs	26-40 yrs	26-40 yrs	26-40 yrs	26-40 yrs	26-40 yrs	Experience:1-3 and > 5years
Gender	Male & Female	Male	Male & Female	Male	Male & Female	Male	Male & Female	Perceive that they can charge their clients more if art is displayed
Income	Rs.5L to Rs.25L	Rs.5L to Rs.25L	Rs.5L to Rs.25L	More than Rs.25L	Rs.5L to Rs.25L	Rs.5L to Rs.25L	Rs.5L to Rs.25L	Willing to seek expert advice before buying art for their clients
Educationlevel	Engineering & Management	Engineering & Management	Management & Science	Engineering	Engineering & Management	Engineering & Science	Management & Science	Interior Designers
Geography	All India	Bangalore	Bangalore	Mumbai	All India	Bangalore	Bangalore	Would be willing to go premium customized art-work

Behavior								No special preference for online display of art
Follow the art market	No	Some of them	No	Yes	No	No	No	
Bought art online	Yes	Yes	Yes	Yes	No	No	No	
Spending ability on Art	Rs.1000 - Rs.20000	Rs.200 - Rs.5000	Rs.1000 - Rs.5000	Rs.20,000 - Rs.100,000	Rs.200 - Rs.20000	Rs.200 - Rs.5000	Rs.1000 - Rs.5000	
Importance priority	Furniture Books Utility goods Entertainment	Books Furniture Entertainment Furniture	Entertainment Books Furniture Utility Goods	Books Art Sports Goods	Utility Goods Furniture Books Entertainment	Sports Goods Furniture	Utility Goods Books Furniture Entertainment	
Art buying preference location	Residential complex & Office	Residential complex & Office	Residential complex & Office	Offline, Galleries	Residential complex & Office	Residential complex & Office	Residential complex & Office	
Psychographic	Sincere	Excited	Competence	Sophisticated	Sincere	Excited	Competence	Interior Designers
	Down to earth Honest Cheerful	Daring Spirited Imaginative	Reliable Socially active	Charming Upperclass	Down to Earth Honest Cheerful Socially active	Daring Spirited Imaginative	Reliable Socially active	

Exhibit 3: Interior Designers analysis

- 100% feel that art enhances the look of interiors
- 70% perceive that clients of Interior designers can be charged more if there is art displayed
- 80% of the Interior Designers feel the lack of expertise in Art and will be willing to advisory services.

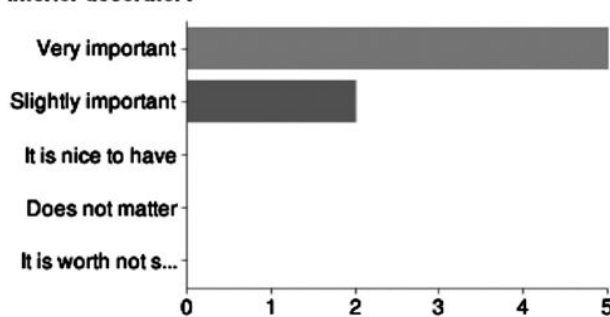
Would you prefer to buy customised art for a higher cost?



Yes	4	57%
No	0	0%
Maybe	3	43%

Possibility to charge a premium

How important is art to you when compared to all the different design decisions that you take as an interior decorator?



Very important	5	71%
Slightly important	2	29%
It is nice to have	0	0%
Does not matter	0	0%
It is worth not spending	0	0%

100% of Interior Designers feel Art is important. A sure target

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